

OJ Commerce, LLC,

v.

**Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft
A/S & CO. KG and Hamburg Sud North America, Inc.**

Docket No. 21-11

Respondents' Proposed Findings of Fact

Confidential – Restricted

OJ COMMERCE, LLC,
Complainant,
v.
HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S
& CO. KG
and
HAMBURG SUD NORTH AMERICA, INC.
Respondents.

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Respondents Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG (“HSDG”) and Hamburg Sud North America, Inc. (“HSNA”) (collectively, “Respondents”) submit the following proposed findings of fact:

A. The Parties

1. OJC is a Delaware limited liability company with its principal place of business in Broward County, Florida. CX466. Jacob Weiss is OJC’s founder, owner, and CEO. CX466.

2. Mr. Weiss is also the founder, owner, and CEO of Naomi Home, Inc. (“Naomi Home”), an affiliate of OJC that shares the same offices as OJC. RX998-99, 8:2-22; 13:25-14:1.

3. Naomi Home is a Delaware corporation with a principal place of business at Broward County, Florida. CX135.

4. HSDG operated as ocean common carrier until October 31, 2021. CX067-CX068.

5. On November 1, 2021, HSDG was merged into its former parent company Maersk A/S. CX067-CX068. Maersk continues to operate the “Hamburg Sud” brand, which offers different services than Maersk A/S. RX1120, ¶ 4 (WR).

6. HSNA was, until November 1, 2021, a wholly-owned subsidiary of HSDG that acted as the U.S. general agent of HSDG. On that date, HSNA became a wholly-owned, indirect subsidiary of Maersk A/S. On January 1, 2022, HSNA was merged into Maersk Agencies USA, Inc., the U.S. subsidiary and general agent of Maersk A/S. CX101, ¶ 2.

7. HSNA's only business was to act as the general agent of its ocean common carrier parent, HSDG. CX102, ¶ 3. HSNA was not an ocean transportation intermediary (“OTI”), or a common carrier in its own right. CX102, ¶ 3, 5.

8. HSNA was not engaged in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49. CX102, ¶ 4.

B. OJC's E-Commerce Business

9. OJC is an e-commerce retailer that sells “dropship” products from hundreds of brands. CX467 ¶ 2; RX998-99, 9:20-11:15. With respect to these “dropship” products, OJC acts as an authorized reseller for third parties, and orders placed with OJC are fulfilled (i.e., delivered) by third-party retailers. OJC does not manufacture or incur ocean carrier shipping costs for these “dropship” products. RX1002, 22:21-25; 23:1-7.

10. OJC also has a direct import business where OJC buys household goods, including a wide variety of furniture and office products, for sale in the U.S. OJC imports these products into the U.S. from Asia and Brazil. CX467 ¶ 2; RX998-99, 9:20-11:15.

11. This dispute involves OJC's import business, not the “dropship” business. CX467 ¶ 2; RX998-99, 9:20-11:15.

12. Naomi Home is OJC's most popular “private label brand” in its import business, but OJC also imports and sells products under other brand names. RX998, 9:1-8; RX1009, 74:15-76:11.

13. Naomi Home products are manufactured primarily in Asia and Brazil and imported into the United States by ocean carriers. RX1009, 74:10-14. These Naomi Home products are the foundation of the “import business” upon which OJC bases its loss claims in this proceeding. OJC's Proposed Findings of Fact, ¶ 17-19.

14. OJC uses overseas agents in Asia and Brazil to arrange and secure bookings with ocean carriers. RX1006, 62:19-64:12; CX169; RX915-15.

15. From June 1, 2020 to May 31, 2021, OJC imported Naomi Home and other products from Asia and Brazil to OJC's warehouses in City of Industry, California and Louisville, Kentucky. CX203.

16. According to Mr. Weiss, 70% of OJC's volume is routed to OJC's warehouse in

Louisville, Kentucky. CX203.

17. OJC refused to produce any financial statements, such as balance sheets, income statements, cash flow statements, and profit and loss statements in response to Respondents' discovery requests. RX1121, ¶ 12 (WR).

18. The only financial documents OJC produced (other than two valuation analyses, which are no longer relevant, *see* OJC Brief at 33, n.121) are two iterations of an Excel spreadsheet containing damage data and calculations created by Mr. Weiss. Rohde Ex. 1 (July 14, 2022 version); Weiss Ex. 101 (September 2, 2022 version).

19. Mr. Weiss was only able to estimate OJC's *total* annual revenue during his deposition. He testified that OJC's revenue was approximately: (i) [REDACTED] in 2019; (ii) [REDACTED] in 2020; (iii) [REDACTED] in 2021; and (iv) [REDACTED] through August 14, 2022. RX1002, 24:14-25:1; 25:15-19.

20. Neither OJC nor Mr. Weiss ever identified what portion of OJC's total revenue was attributable to the "import business," which is at issue in this proceeding, as opposed to the "dropship" business.

21. Moreover, given that OJC's import business is primarily attributable to Naomi Home (together with a small amount of other branded products), OJC appears to be seeking to recover lost profits that may have been sustained by Naomi Home, not OJC. RX1153 ¶ 26.

22. In December 2020, there were some credit issues relating to Naomi Home that delayed certain shipments. RX656-59.

C. Contract Negotiations Between HSDG and OJC

23. On May 15, 2020, OJC invited HSDG to submit a bid to transport cargo on certain trans-Pacific trade lanes. OJC's original request focused primarily on Asia to Kentucky trade lanes, which required inland transportation from U.S. East Coast ports to Louisville, Kentucky. RX1131-

32, ¶ 4.

24. HSDG declined to bid for this business because it was in the process of reducing the Asia to Kentucky trade lanes for all customers due to increased inland transport costs as well as operational issues such as trucker and chassis shortages. RX1131-32, ¶ 4; CX248 (“This is mainly IPI to inland Louisville, KY that we are trying to reduce. Please decline.”).

25. HSDG did transport cargo to inland destinations—including Kentucky—from Brazil and other South American ports, as these trade lanes were part of HSDG’s core business. RX1132, ¶ 6. On the other hand, HSDG did not have substantial trade on trans-Pacific trade lanes. RX1132, ¶ 6. HSDG’s share in the trans-Pacific trade was [REDACTED]. RX988A, 163:6 (JP).

26. Rodrigo Pestana, HSDG’s former Transpacific Manager, stated that transporting cargo from Asia to Kentucky would have had a “negative impact in our PnL.” CX242; RX1132, ¶ 6.

27. Mr. Weiss told Andrea Casanova, an HSDG sales representative, that OJC entered service contracts with other ocean carriers to handle the Asia to Kentucky trade lanes, which he said accounted for 1,266 FFEs per year, the bulk of OJC business. RX1132, ¶ 7; CX243 (“The original volume was 1266x40hc per year (pls see attached), but the customer had already signed a contract with other carriers since we rejected it initially.”).

28. Ms. Casanova subsequently negotiated a service contract with Mr. Weiss for a limited amount of OJC’s cargo needs on the Asia to California trade lanes. RX1132-33, ¶¶ 8-9.

29. On May 26, 2020, Mr. Weiss declined HSDG’s initial offer for this business because he said the rates HSDG proposed were higher than the rates OJC was paying under existing service contracts with OOCL and Hyundai. RX1132-33, ¶ 8; RX637. However, HSDG and OJC were subsequently able to come to an agreement. RX1132-33, ¶¶ 8-9; RX624.

D. The 2020-21 Service Contract Between HSDG and OJC

30. In June 2020, HSDG and OJC entered a service contract effective from June 23, 2020 to May 31, 2021 (the “Service Contract”). CX119-135. OJC agreed to tender, and HSDG agreed to transport, a minimum of 200 forty-foot equivalent units (“FFE¹”) from Asia to California at specified rates. *Id.*; RX1133, ¶ 9.

31. The specific trade lanes covered by the Service Contract are from Asia to City of Industry, California and are set forth in the Appendix. CX126-CX134. The Service Contract does not include the Asia to Louisville, Kentucky trade lanes. *See id.*; RX1133, ¶ 9.

32. The Service Contract imposes a Minimum Volume Commitment (“MVC”)² of 200 FFEs (or 400 TEUs) during the Contract Term from June 23, 2020 to May 31, 2021. CX120, § 3(a); CX125 (“Minimum Volume Commitment”).

33. The Service Contract does not specify a minimum volume commitment on a weekly, monthly, or quarterly basis; the Minimum Volume Commitment is 200 FFEs over the entire 49-week Contract Term from June 23, 2020 to May 31, 2021. *Id.*; RX1133, ¶ 11.

34. Under the Service Contract, OJC agreed that its tender of cargo to HSDG would be “reasonably spaced” throughout the Contract Term.” CX125, ¶ 1. There was no similar requirement on HSDG. *See* CX119-CX135.

35. The parties agreed that any disputes relating to the contract—including disputes relating to the parties’ performance—would be resolved by arbitration. CX123, ¶ 9(b).

36. The Service Contract contains a liquidated damages provision that limits both parties’ liability for failing to meet the Minimum Volume Commitment. CX121, ¶ 3(c).

37. The Service Contract does not contain an automatic renewal provision or any other

¹ 200 FFEs is equivalent to 400 twenty-foot equivalent units (“FEUs” or “FFE¹”). CX420 ¶ 29.

² The Minimum Volume Commitment is also referred to as a “Minimum Quantity Commitment” or “MQC.”

provision requiring the parties to enter service contracts for subsequent contract terms. *See* CX119-135.

38. The parties never amended the Service Contract. RX1133, ¶ 10.

E. OJC's Service Contracts with Other Carriers

39. OJC also had service contracts with other carriers in 2020-21, but OJC refused to produce them in response to Respondents' discovery requests. RX1120, ¶¶ 6-8. According to Mr. Weiss, these other carriers included: OOCL, COSCO, APL, and Hyundai. RX1010, 79:12-22; 85:13-22; 127:16-21; RX637.

40. Based on the limited shipping data OJC produced, the other carriers handled [REDACTED] of OJC's volume in 2020-21; the remaining [REDACTED] was handled by HSDG. *See* Weiss Ex. 101 (containers tab, sorted by ship date).

41. Mr. Weiss testified that the other carriers fully performed under their service contracts in 2020-21. RX1013, 115:2-7.

F. Impacts of the Pandemic in 2020-21

42. In 2020 and 2021, consumers spent more time at home due to the pandemic, resulting in increased spending on consumer goods. Increased demand for consumer goods led to increased imports from Asia, where many consumer goods are manufactured. RX988, 151:24-156:3; RX378.

43. This increase in cargo volume, combined with sanitary measures, social distancing, and a shortage of workers due to illness and/or resignation, resulted in supply chain congestion. Warehouses and distribution centers struggled to handle cargo volume, and a shortage of truck drivers caused delays transporting to inland destinations. RX987, 151:24-156:3.

44. As a result, congestion increased at marine terminals. With vessels anchored offshore waiting to unload, carriers were unable to provide the fixed-day, weekly sailings that are

characteristic of most shipping services. Less frequent sailings meant lower overall container shipping capacity. RX987-88, 151:24-156:3; RX979, 30:1-32:18; RX343.

45. Ocean carriers were forced to cancel or use blank sailings due to vessels being delayed outside of ports, including the Port of Los Angeles/Long Beach, which at times, had dozens of vessels waiting weeks to berth. RX979, 30:1-32:18.

46. As a result of the congestion, scheduling issues, and the unprecedented increases in cargo volume, HSDG had difficulty meeting the needs of its service contract customers, including OJC. RX987-88, 151:24-156:3; RX979, 30:1-32:18.

G. The Parties' Performance Under the Service Contract in 2020-21

47. HSDG prioritized its service contract customers—including OJC—over customers on the spot market. RX950, 114:16-116:25.

48. During the Contract Term from June 23, 2020 to May 31, 2021, Ms. Casanova had extensive communications with Mr. Weiss and Naomi Torres at OJC, during which they repeatedly complained and demanded additional space from HSDG. RX1135, ¶ 20.

49. These complaints started less than a month after the parties executed the Service Contract, *see, e.g.*, RX543 (HS-003156) (“We haven’t received a single space in Vietnam. Why have a contract if space is not available?”), and continued—on an almost daily basis—throughout the Contract Term. RX1135, ¶ 21.

50. Although not required under the Service Contract, Ms. Casanova tried to accommodate OJC’s shipping needs on a weekly and monthly basis—as she did for all customers—based on the information she received from Mr. Weiss. RX1134, ¶ 16; RX960, 206:23-207:18; CX208; RX726-35; RX815-21; RX906-10.

51. Compared to Ms. Casanova’s other accounts, however, OJC and Mr. Weiss were less understanding of the challenges HSDG and other ocean carriers were facing in 2020-21 due to

the pandemic. RX1135-36, ¶ 25.

52. In the fall of 2020, HSDG actually *added* extra “space protection” or “SP” for OJC in an effort to make up for earlier unavailability. CX157. “SP” is an internal allocation that HSDG made for its service contract customers as a way of (i) trying to protect space to meet the customer’s requests for container space; and (ii) trying to stay on track to satisfy the Minimum Volume Commitment by the end of the contract term. RX1134, ¶ 14.

53. Michael Gast, a member of HSDG’s risk management team, assisted Ms. Casanova in securing additional space protection for OJC. CX 161; CX155-56.

54. While HSDG sometimes charged a premium in 2020-21 for space provided in excess of a customer’s contractual entitlement, RX989, 171:1-15, OJC was never charged a premium for any additional capacity it received. RX1134, ¶ 17; RX961, 211:2-6.

55. In arguing that it was entitled to 8 TEUs or 10 TEUs *per week*, OJC refers—not to the terms of the Service Contract—but to certain emails that reference “SP.” OJC Brief at 38. OJC misinterprets these emails. The SP that HSDG allocates to its service contract customers is not synonymous with the Minimum Volume Commitment under a service contract. RX950-51; 961, 116:14-117:25; 209:14-210:10; CX208.³

56. Some of the scheduling issues the parties encountered in 2020-21 were caused by OJC and presumably a result of the pandemic’s effects on OJC and its overseas agents. For example, OJC’s agent in China, Syntrans, contributed to the scheduling issues by repeatedly trying to book space on the wrong HSDG services. RX1135-36, ¶ 25; RX948, 107:8-16; RX815; RX906-10.

³ During deposition, OJC’s counsel showed Ms. Casanova a handful of internal HSDG emails in which she sometimes inaccurately referred to SP—the space HSDG allocated internally—as “MVC” or “MQC.” RX943-44, 88:15-91:21; 95:12-96:7; RX 947, 101:2-104:25; RX 949, 112:2-17; RX950-51, 116:14-118:4. While this was a mistake on Ms. Casanova’s part, it did not change the terms of the Service Contract. RX1134, ¶ 18.

57. In other cases, OJC’s agents attempted to book cargo when the requested vessel was already full. RX906-10.

58. At times, OJC had problems with its warehouse in City of Industry, California—the destination for the cargo HSDG transported under the Service Contract. For example, in February 2021, Mr. Weiss told Ms. Casanova that OJC had “run out of warehouse space in the City of Industry warehouse.” RX1136, ¶ 26; RX749.⁴

59. In 2020-21, HSDG substantially complied with its Minimum Volume Commitment for OJC, but was unable to provide all of the space it committed, moving 185 of the 200 FFEs from June 23, 2020 to May 31, 2021. Amended Complaint, ¶ 32.

60. OJC was not the only contract customer impacted by the pandemic in this manner. RX1135-36, ¶ 25; RX984, 126:21-127:8.

61. Nevertheless, OJC repeatedly threatened to sue HSDG for breach of contract in connection with our failure to satisfy all its shipping needs. On October 16, 2020 and April 28, 2021, OJC’s counsel served a “NOTICE OF BREACH OF SERVICE AGREEMENT.” CX159-CX160; CX209-CX211.

62. From time to time, Mr. Weiss also threatened to initiate lawsuits in his emails. *See, e.g.*, RX785 (“Unless I hear back from you by noon today I will turn it over to legal.”); CX213 (“we were advise[d] from customer . . . it will proceed with legal actions against HS”).

H. Discussions About a Possible 2021-22 Service Contract

63. In 2021, Mr. Weiss and Ms. Casanova had discussions about a possible new service contract for 2021-22. RX1137, ¶ 32. These discussions began in earnest in April 2021. *Id.* Amended Complaint, ¶ 41 (“During April 2021, the parties were engaged in discussions about

⁴ OJC had similar operational challenges in Brazil, RX913, in which Weiss stated “Factories are the ones that put us in this position”), although the Brazil to U.S. trade lanes were not covered by the Service Contract. RX1142, ¶ 59.

renewing the parties' service contract.”).

64. In late April 2021, Mr. Weiss told Ms. Casanova that OJC had shipped 3,500 FFEs in 2020-21. CX203; RX953-54, 171:24-172:3. Ms. Casanova had no way of knowing whether that figure was accurate. RX1137, ¶ 33; RX962, 215:8-216:4.

65. Mr. Weiss also told Ms. Casanova that OJC projected to transport 4,200 to 4,700 FFEs in 2021-22. CX203; RX1137, ¶ 34; RX953, 170:4-7; RX962-63, 216:20-217:13. Ms. Casanova did not know whether that was a reasonable projection because she had no insight into the cargo OJC transported with other carriers in 2020-21. RX1137, ¶ 34.

66. OJC offered a single Excel spreadsheet titled “Container Projections 2021” to support its projected substantial increase in volume in 2021-22 (Weiss Ex. 100), but the projection unreasonable and fundamentally flawed for numerous reasons.

67. *First*, the projection purports to include actual shipping data for periods including May 2021 suggesting that it was prepared after May 2021. Weiss Ex. 100; RX1165, ¶ 59.a.

68. *Second*, Mr. Weiss claims OJC had the demand to have moved 3,500 FFEs in 2020-21, but OJC actually shipped just [REDACTED] FFEs in 2020-21, an [REDACTED] **decrease**. Compare Weiss Decl. ¶ 10 with Weiss Ex. 101 (containers tab, sorted by shipped date).

69. *Third*, although the spreadsheet reflects that every Naomi Home product was “unavailable” at various times [REDACTED], OJC assumes—without explanation—that the lack of “availability” would have been resolved on June 1, 2021 had HSDG entered into a new contract. RX1165, ¶ 59.c.

70. When asked about this at deposition, Mr. Weiss testified, “I’m sure we have the data, but there’s no way for me to tell you this today off of memory.” RX1027, 293:17-22. Again, OJC refused to produce the data.

71. *Fourth*, the 2021-22 projection is inconsistent with contemporaneous data and

communications. In April 2021, OJC acknowledged that there were 40 containers awaiting shipment. CX210. Neither OJC nor Mr. Berning explain how a 40-container backlog in April 2021 correlates to a claimed need for more than 390 containers per month beginning in June 2021. RX1165-66, ¶ 59.d.

72. The data suggests OJC did not have sufficient demand and/or manufacturing capabilities to meet the 4,700 FFE projection on which its damages claims are based, which would explain why OJC's City of Industry warehouse—the warehouse HSDG delivered to under the Service Contract—was at full capacity in February 2021. RX749 (OJC's warehouse at full capacity in February 2021).

73. Mr. Weiss also stated that 70% of OJC's anticipated volume in 2021-22 was on the Asia to Kentucky trade lanes that HSDG had previously declined to handle. CX203; RX1137, ¶ 35; RX963, 217:17-20. He asked HSDG to re-consider that business in 2021-22. RX1137, ¶ 35.

74. On April 27, 2021, Ms. Casanova relayed this information to Ivan Cheung and Kevin Li of the HSDG trade team. RX1137, ¶ 36; CX203.

75. Mr. Li directed Ms. Casanova to ask OJC to provide a specific MVC that OJC would agree to in a service contract for 2021-22 so that HSDG could evaluate its ability to meet that MVC and price the contract. CX224; RX1137-38, ¶ 37.⁵

76. Despite repeated requests by Ms. Casanova, Mr. Weiss was never willing to commit to a specified MVC for the new service contract.

77. Mr. Li also instructed Ms. Casanova to decline OJC's offer to bid on the Asia to Kentucky trade lanes due to the increased inland transportation costs. CX224; RX1138, ¶ 38. On April 28, 2021, Ms. Casanova relayed this to Mr. Weiss. RX1138, ¶ 39; RX812 ("At this time,

⁵ The MVC in service contracts is typically a fixed number, not a range. RX1137-38, ¶ 37; CX217 (Mr. Li of HSDG stating "We will need a clear [MVC] target to put [OJC] on the target list.").

please consider this commitment for the place of delivery City of Industry CA only.”); RX958, 199:9-16 (“I advised [Mr. Weiss] that we are not able to . . . do a contract . . . in that lane.”).⁶

78. The parties never reached an agreement on the material terms (MVC, trade lanes, and rates, etc.) of a new service contract for 2021-22. RX1138, ¶ 40.

79. The parties never exchanged a draft contract for 2021-22; there was no communication between the parties setting forth contract terms; neither party provided a verbal or written offer; and no contract was concluded for 2021-22. RX1138, ¶ 38.

80. OJC argues—based on an email Ms. Casanova prepared—that HSDG agreed to a new service contract for 2021-22 with the same rates as the Service Contract for 2020-21. OJC Brief at 24. This is not correct. RX1138, ¶ 41. Mr. Weiss and Ms. Casanova did not discuss new contract rates for 2021-22. RX1138, ¶ 41; RX953, 171:10-12; RX963, 220:7-16.

81. Any rates for 2021-22 would have depended, in large part, on the MVC and trade lanes of any new contract. RX1138, ¶ 42. Considering that 70% of OJC’s projected volume was on Asia to Kentucky trade lanes that HSDG repeatedly declined, it is unclear whether the parties would have ever reached an agreement on rates. RX1138, ¶ 42.

82. Ms. Casanova also never “proposed” a new contract to OJC with the same rates as 2020-21. RX1139, ¶ 43. The April 29, 2021 email that OJC cites, CX214, was an email Ms. Casanova sent internally within HSDG to gauge HSDG’s interest in a contract with OJC in 2021-22, and to determine the new contract rates. RX1139, ¶ 43.

83. Because Mr. Weiss had not committed to a specific MVC, Ms. Casanova created a contract template in HSDG’s system with a 400 FFE MVC (double the MVC from 2020-21).

⁶ On October 9, 2020, Mr. Weiss asked if HSDG “would be open to entertain a 6 month (Oct-March) contract for 60 40’ HQ containers monthly” from Asia to Kentucky due to a “spike way above [OJC’s] original projection.” RX803. HSDG again declined to bid for this business due to the increased cost of the interior point intermodal shipments. RX1137, ¶ 33; RX802.

RX1139, ¶ 44.

84. She picked this MVC as a way of potentially offsetting the anticipated deficit in 2020-21 and showing an interest in handling more of OJC's volume. RX1139, ¶ 44; CX222. This template existed only within HSDG's system; it was not provided to OJC (other than perhaps after-the-fact during discovery in this proceeding). RX1139, ¶ 45.

85. Ms. Casanova did not know whether HSDG had any interest or capability to enter a contract for 2021-22 with a 400 FFE MVC. RX1139, ¶ 46. She was simply asking HSDG's trade team "***if it is possible*** to Increase MQC by 200 FFE giving a total of \$400 FFE." CX215 (emphasis added).

86. The contract template contained the same rates as 2020-21 because those were the rates in the system from the prior contract. RX1139, ¶ 45. The trade team was the division within HSDG that would provide the new rates for any new contract. RX1139, ¶ 45; RX963, 220:17-20.

87. Mr. Weiss also claims that Ms. Casanova "agreed to the 4200-4700 container MQC for 2021-2022. . . ." CX468 ¶ 11. This is false. RX1139, ¶ 47. Neither Mr. Weiss nor Ms. Casanova ever exchanged possible MVCs for a 2021-22 contract or reached any agreement on the MVC. RX1139, ¶ 47.

88. Moreover, Ms. Casanova was not in any position to agree to such a substantial increase of the MVC from 200 FFEs to 4,700 FFEs. RX1139, ¶ 47. That approval would have come from HSDG's trade team. RX1139, ¶ 47.

89. After receiving Ms. Casanova's email, Kevin Li sought guidance from Juergen Pump regarding OJC's account. CX220-221.

90. Mr. Li noted that OJC was "threatening us on liquidated damage against the space that we couldn't provide." CX220. The primary focus of these threats was a breach of contract claim, which is precisely what Mr. Li described in his email. CX220. On April 29, 2021, Mr.

Pump had no indication that OJC was threatening action before the FMC. Mr. Pump had not seen the threats that OJC's counsel sent HSDG. RX994, 248:24-249:6.

91. The April 29, 2021 email from Mr. Li to Mr. Pump reflects Mr. Li's mistaken understanding that what Ms. Casanova sent him was a proposal from OJC: "they are proposing a renewal contract with 400 FFE MQC but all rates remain the same from last year contract." CX 220; RX981, 147:9-17.

92. As a result, Mr. Pump was being asked if HSDG should enter a 400 FFE contract with the same rates as 2020-21 with a customer that was threatening litigation. RX991, 226:14-228:25.

93. Mr. Pump thought that a proposal for a new 2021-22 with the same rates as 2020-21 was "not a reasonable starting position." RX991, 226:14-228:25. Mr. Pump rejected what he mistakenly understood to be a contract offer from OJC for a 2021-22 service contract with an MQC or 400 FFE with the same trade lanes and the same rates as the 2020-21 Service Contract. RX991, 226:14-228:25.

94. Mr. Li informed Ms. Casanova that HSDG would not enter a service contract with OJC in 2021-22. RX1140, ¶ 48; CX213.

95. On May 4, 2021, Ms. Casanova sent Mr. Weiss an email informing him of HSDG's decision. RX1140, ¶ 50. She stated that HSDG would not enter a contract for 2021-22 due to "the lack of space and equipment in Asia and the shortage of truck power in the US that we and the entire industry are facing." RX812.

96. Although HSDG could not offer OJC a service contract for 2021-22, HSDG offered to continue transporting for OJC on a case-by-case basis using the space available for all customers pursuant to its common carriage responsibilities. RX812; RX964, 221:4-10.

97. After the Service Contract ended on May 31, 2021, HSDG did in fact continue to

transport cargo for OJC from Asia to California; OJC’s own shipping data proves this. Weiss Ex. 101 (containers tab). Thus, Mr. Pump’s suggestion that HSDG decline to provide space under the Service Contract was not adopted by HSDG in any event. RX726-28.

98. Ms. Casanova was not upset about losing the OJC account: “I was – it is not that I was upset, but I was understanding the situation . . . if we cannot perform service to a customer, it is better to be honest and tell the customer the truth before committing to something that we might not be able to perform and fulfill for another period.” RX1140-41, ¶ 53 (AC); RX959, 201:12-17.

99. After HSDG declined to enter a new contract for 2021-22, Ms. Casanova continued to work with the HSDG team to find available space for OJC in the hopes that HSDG could meet the MVC of 200 FFE by the end of the contract term on May 31, 2021. RX1141, ¶ 55. Based on her communications, Ms. Casanova was initially optimistic that HSDG would meet the MVC. RX1141, ¶ 55; RX755 (“That is great news and our effort to fulfill the contract. I have shared this information with the customer.”).

100. Ultimately, however, HSDG ended up missing the MVC by 15 FFEs. Amended Complaint, ¶ 32; RX1141, ¶ 56.

I. HSDG’s Decision Not to Enter a 2021-22 Contract was Reasonable

101. HSDG’s decision not to enter a new service contract with OJC in 2021-22 was based on several factors and was reasonable.

102. *First*, the pandemic continued to cause supply chain congestion—especially at U.S. West Coast ports—resulting in less frequent sailings and decreased shipping capacity. RX987-88, 151:24-156:3; RX348. This was the reason Ms. Casanova included in her email to Mr. Weiss. RX812.

103. *Second*, HSDG was understandably hesitant to enter a new contract in 2021-22—***with a MVC 2,250% more than 2020-21***—particularly after OJC repeatedly threatened to sue in

2020-21, and HSDG missed the MVC by just 15 FFEs.

104. As Ms. Casanova explained: “if we cannot perform service to a customer, it is better to be honest and tell the customer the truth before committing to something that we might not be able to perform and fulfill for another period.” RX959, 201:12-17.

105. *Third*, OJC apparently wanted the same rates. OJC Brief at 39 (“The expected contract rates used for this analysis were those contained in the Contract...”). This was unreasonable given that rates had increased in 2021-22 due to the imbalance of supply and demand. CX432; OJC Brief at 41-46.⁷

106. Mr. Weiss cites no support for his claim that “spot market rates went through the roof” only after “the Parties’ contract negotiations.” CX468 ¶ 12. Spot rates were increasing by as early as June 2020, almost a full year earlier than Mr. Weiss claims. RX326-27 (June 12, 2020 article from the Journal of Commerce reporting that spot rates were increasing at that point in time).

107. Spot rates increased substantially by early 2021, and that a request for a 2021-22 contract at 2020-21 rates would be completely detached for the realities of the market. RX991-93, 228:5-6; 235:11-20; RX377; CX435 (Mr. Berning’s rate trends chart); RX1163, ¶ 53.

108. *Fourth*, 70% of OJC’s shipping needs were on Asia to Kentucky trade lanes, which HSDG was reducing for all customers due to increased costs. CX203; CX248.

109. *Fifth*, OJC’s disputatious manner of doing business—with daily demands for additional space—contributed to the decision. RX1135, ¶ 21; RX1140 ¶ 50. OJC repeated threats to sue HSDG for breach of contract played a role in the decision. RX1136, ¶ 28; CX213.

⁷ OJC’s expert, Richard Berning concedes that rates in 2021-22 were substantially higher than rates in 2020-21 due to the imbalance of supply and demand. CX432 (“

_____”)

110. OJC's threats to sue HSDG for breach of contract—even before the end of the contract term—were not surprising given the litigious nature of the company; OJC has filed at least 17 lawsuits in the past few years. *See* RX1120, ¶ 5.

111. OJC was not the only customer for whom HSDG declined to enter a service contract with in 2021-22. RX1141, ¶ 54. Due in large part to the issues caused by the pandemic, Ms. Casanova estimated that HSDG declined to enter new service contracts with approximately [REDACTED] of the customer accounts that she handled. RX1141, ¶ 54; RX957, 188:19-25.

J. Respondents Continued to Transport Cargo After OJC Threatened Litigation

112. After receiving OJC's October 19, 2021 and April 28, 2021 threats to sue for breach of contract, HSDG and Maersk continued to transport cargo for OJC. *See* Weiss Ex. 101 (containers tab).

113. From April 28, 2021 (the date of OJC's second threat to sue) to May 31, 2021 (the end of the Service Contract), HSDG and Maersk transported **20 FFEs** for OJC (or **11%** of the total volume HSDG shipped for OJC in 2020-21). HSDG transported another **13 FFEs** the week immediately after the Service Contract ended. In total HSDG and Maersk transported **33 FFEs** from April 28, 2021 to June 6, 2021:

2	id	po_number	waybill	received	origin	destination	shipping	shipper	shipped
525	5186582	8868140507	PONU7338720	6/7/2021	Brazil	Louisville	S	Hamburg Sud	5/1/2021
526	5233050	8804116078	MSKU0595352	6/16/2021	Brazil	Louisville	S	Hamburg Sud	5/2/2021
527	5135865	8873347470	MSKU8403163	7/13/2021	Brazil	LA/LB	S	Hamburg Sud	5/4/2021
528	5186572	8820986398	MRKU5379400	6/16/2021	Fuzhou	Louisville	S	Maersk	5/6/2021
529	5186568	8858892989	MRKU3484031	6/22/2021	Yantian	LA/LB	S	Hamburg Sud	5/6/2021
530	4751505	8892778580	TCNU1120496	6/25/2021	Yantian	LA/LB	S	Hamburg Sud	5/6/2021
531	5135866	8848454094	MRKU5425172	9/14/2021	Brazil	Louisville	S	Hamburg Sud	5/8/2021
532	5135863	8841863295	MSKU1070456	6/15/2021	Brazil	Louisville	S	Hamburg Sud	5/8/2021
533	5186567	8804071237	HASU4880662	6/15/2021	Yantian	LA/LB	S	Hamburg Sud	5/10/2021
534	4702902	8827447346	MRSU3487706	6/10/2021	Yantian	LA/LB	S	Hamburg Sud	5/10/2021
535	4702900	8835977640	MRKU4164201	7/1/2021	Yantian	Louisville	S	Maersk	5/13/2021
536	4702903	8862657671	MSKU1975845	7/1/2021	Yantian	Louisville	S	Maersk	5/13/2021
537	4862459	8877560152	SUDU8646980	7/14/2021	Ho Chi Minh	LA/LB	S	Hamburg Sud	5/14/2021
538	4618351	8892360470	MSKU8436260	6/22/2021	Xiamen	LA/LB	S	Hamburg Sud	5/15/2021
539	4750048	8856697514	MRKU6191696	6/10/2021	Xiamen	LA/LB	S	Hamburg Sud	5/15/2021
540	5135861	8807190156	MRSU3824366	9/14/2021	Brazil	Louisville	S	Hamburg Sud	5/16/2021
541	5233052	8870241086	TGHU7917494	6/21/2021	Brazil	Louisville	S	Hamburg Sud	5/20/2021
542	4676559	8805260758	TRLU8271006	7/28/2021	Ho Chi Minh	LA/LB	S	Hamburg Sud	5/20/2021
543	5186549	8853206452	MRSU3009116	6/25/2021	Brazil	Louisville	S	Hamburg Sud	5/22/2021
544	5093093	8847658835	MRSU3300327	7/19/2021	Shanghai	LA/LB	S	Hamburg Sud	5/31/2021
545	4990763	8859766432	GCKU5721300	7/20/2021	Yantian	LA/LB	S	Hamburg Sud	6/1/2021
546	4990762	8863146434	MRKU3142506	7/20/2021	Yantian	LA/LB	S	Hamburg Sud	6/1/2021
547	5294619	8877253240	TLLU6852525	7/13/2021	Yantian	LA/LB	S	Hamburg Sud	6/1/2021
548	4990764	8822958155	MSKU1597679	7/19/2021	Yantian	LA/LB	S	Hamburg Sud	6/1/2021
549	5294622	8850148293	GCKU5705892	7/13/2021	Yantian	LA/LB	S	Hamburg Sud	6/1/2021
550	5341390	8803522173	PONU7957303	8/6/2021	Ho Chi Minh	LA/LB	S	Hamburg Sud	6/2/2021
551	4751519	8837954598	TRHU8489601	7/14/2021	Yantian	LA/LB	S	Hamburg Sud	6/2/2021
552	4816669	8825174683	MSKU1228177	7/14/2021	Yantian	LA/LB	S	Hamburg Sud	6/2/2021
553	4816647	8800272092	BMOU4268879	7/19/2021	Shanghai	LA/LB	S	Hamburg Sud	6/2/2021
554	4844516	8805570562	SUDU6976489	7/16/2021	Shanghai	LA/LB	S	Hamburg Sud	6/2/2021
555	5186536	8864657741	TRHU8490330	7/13/2021	Ningbo	LA/LB	S	Hamburg Sud	6/2/2021
556	5186535	8819495957	TRHU8491759	7/14/2021	Ningbo	LA/LB	S	Hamburg Sud	6/2/2021
557	5233051	8848267457	MSKU8709467	7/16/2021	Brazil	Louisville	S	Hamburg Sud	6/6/2021

Weiss Ex. 101 (containers tab, sorted by shipper and shipped date).

114. In other words, OJC's own data proves that HSDG continued to transport for OJC (i) *after* receiving OJC's October 16, 2020 and April 28, 2021 litigation threats; (ii) *after* Ms. Casanova told Mr. Weiss on May 4, 2021 that HSDG would not enter a contract for 2021-22; and (iii) *after* the Service Contract ended on May 31, 2021. *Id.*

115. HSDG and Maersk continued to transport significant amounts of OJC's cargo throughout 2021 and 2022. Indeed, based on the limited information OJC produced, of the [REDACTED] FFEs that OJC shipped from June 1, 2021 to July 16, 2022 (the last date for which OJC provided data), HSDG and Maersk accounted for [REDACTED] FFEs or **24%** of OJC's total shipments. *Id.*

116. In total, HSDG and Maersk transported **66 FFEs** *after* OJC threatened litigation on April 28, 2021. Weiss Ex. 101 (containers tab, sorted by shipper and shipped date).

117. OJC refused to produce bills of lading or other documentation of the shipments in Mr. Weiss' Excel spreadsheet (OJC Ex. 101). RX1121, ¶¶ 12-13.

118. Respondents produced bills of lading for every container HSDG and Maersk

transported for OJC after the Service Contract ended on May 31, 2021. RX1-324.

119. These bills of lading show that HSDG and Maersk actually shipped **50 FFEs** for OJC after May 31, 2021, **4 FFEs** more than the unsupported figures on OJC's spreadsheet. *Compare* RX1-324 (bills of lading) *with* Weiss Ex. 101 (containers tab).

120. The specific container shipments that OJC omitted from its Excel spreadsheet (Weiss Ex. 101) are:

Waybill	Bates for BOL	Date Shipped
MSKU0474140	HS015154	2/17/2022
MRKU5067401	HS015163	2/10/2022
TCNU3195051	HS015181	4/23/2022
MRSU4708777	HS014661	6/7/2021

RX225; RX234; RX252; RX35.

121. Moreover, after OJC threatened litigation, HSDG provided short-term rates to OJC for cargo moving from Asia to the U.S., RX603, and from Brazil to the U.S. *See, e.g.*, RX768-74 (quotation valid from March 3, 2021 to April 30, 2021) RX673-78 (quotation valid May 1, 2021 to June 31, 2021); RX596-601 (quotation valid July 1, 2021 to Sept. 30, 2021); RX741-45 (quotation valid Oct. 28, 2021 to Dec. 31, 2021).

122. Ms. Casanova and Mr. Weiss communicated about the Brazil to U.S. trade lanes throughout 2021 and 2022. RX1141 ¶¶ 57-58; *see also* RX529-37; RX593-95; RX661-72; RX737-40; RX764-67. Moreover, OJC’s own data establishes that HSDG and Maersk transported 30 FFEs for OJC on the Brazil to U.S. trade lanes in 2021-22:

2	id	po_number	waybill	received	origin	destination	shipping	shipper	shipped
525	5186582	8868140507	PONU7338720	6/7/2021	Brazil	Louisville	\$	Hamburg Sud	5/1/2021
526	5233050	8804116078	MSKU0595352	6/16/2021	Brazil	Louisville	\$	Hamburg Sud	5/2/2021
527	5135865	8873347470	MSKU8403163	7/13/2021	Brazil	LA/LB	\$	Hamburg Sud	5/4/2021
531	5135866	8848454094	MRKU5425172	9/14/2021	Brazil	Louisville	\$	Hamburg Sud	5/8/2021
532	5135863	8841863295	MSKU1070456	6/15/2021	Brazil	Louisville	\$	Hamburg Sud	5/8/2021
540	5135861	8807190156	MRSU3824366	9/14/2021	Brazil	Louisville	\$	Hamburg Sud	5/16/2021
541	5233052	8870241086	TGHU7917494	6/21/2021	Brazil	Louisville	\$	Hamburg Sud	5/20/2021
543	5186549	8853206452	MRSU3009116	6/25/2021	Brazil	Louisville	\$	Hamburg Sud	5/22/2021
557	5233051	8848267457	MSKU8709467	7/16/2021	Brazil	Louisville	\$	Hamburg Sud	6/6/2021
565	5418106	8885207516	MRSU3702748	10/1/2021	Brazil	Louisville	\$	Hamburg Sud	8/6/2021
566	5135858	8802893116	MRKU4101570	10/11/2021	Brazil	Louisville	\$	Hamburg Sud	8/6/2021
567	5245310	8873629594	TCNU8678725	10/15/2021	Brazil	Louisville	\$	Hamburg Sud	8/27/2021
568	5245311	8858934493	TCLU5518290	10/13/2021	Brazil	Louisville	\$	Hamburg Sud	8/27/2021
569	5245312	8851613894	HASU4222548	10/8/2021	Brazil	Louisville	\$	Hamburg Sud	8/27/2021
570	5418108	8873322440	MRKU2322355	10/11/2021	Brazil	Louisville	\$	Hamburg Sud	8/27/2021
571	5245313	8842951644	MSKU9538883	10/14/2021	Brazil	Louisville	\$	Hamburg Sud	9/8/2021
572	5418107	8803043320	MRKU2425775	11/15/2021	Brazil	Louisville	\$	Hamburg Sud	9/30/2021
616	5454301	8881930426	APMU8072659	7/1/2022	Brazil	Louisville	\$	Maersk	2/7/2022
617	5245315	8856442361	UETU5494320	7/1/2022	Brazil	Louisville	\$	Maersk	2/10/2022
618	5418112	8841876534	TRHU8316925	6/28/2022	Brazil	Louisville	\$	Maersk	2/14/2022
619	5454303	8874973986	TLLU5260136	6/2/2022	Brazil	Louisville	\$	Maersk	2/18/2022
627	5245316	8818818050	TCNU8212906	4/25/2022	Brazil	Louisville	\$	Maersk	3/1/2022
628	5454302	8893715131	UESU4667290	4/22/2022	Brazil	Louisville	\$	Maersk	3/1/2022
639	5454312	8894172173	CAXU8023259	5/18/2022	Brazil	Louisville	\$	Maersk	3/17/2022
640	5454309	8843295142	MSKU1034850	5/24/2022	Brazil	Louisville	\$	Maersk	3/17/2022
641	5454311	8802908123	MSKU0822482	5/24/2022	Brazil	Louisville	\$	Maersk	3/17/2022
642	5454304	8859136850	MSKU8689360	6/15/2022	Brazil	Louisville	\$	Maersk	3/17/2022
643	5454305	8859074810	MRSU3120201	5/13/2022	Brazil	Louisville	\$	Maersk	3/17/2022
644	5418113	8815257922	MRSU3274681	6/15/2022	Brazil	Louisville	\$	Maersk	3/17/2022
646	5454310	8817484447	TCLU9343966	5/27/2022	Brazil	Louisville	\$	Maersk	3/17/2022

Weiss Ex. 101 (containers tab).

123. While HSDG did transport cargo for OJC from Brazil to the U.S., those trade lanes were not part of the Service Contract at issue in these proceedings. RX1142, ¶ 59; CX119-CX135.

124. Rather, HSDG transported OJC’s cargo from Brazil to the U.S. on a case-by-case basis through rate quotations that were typically valid only for 60-days. RX1142, ¶ 62.

125. The document that OJC claims is a separate service contract for Brazil to U.S. is actually one of the rate quotation HSDG gave OJC that was valid from March 3, 2021 to April 30, 2021. CX425; RX1142, ¶ 60; RX965, 227:11-19.

126. Mr. Weiss knew there was no separate service contract for the Brazil to U.S. trade lanes. RX1142, ¶ 61. On September 24, 2021, he asked Ms. Casanova whether HSDG “could offer any contracts from Brazil ports for the coming months.” RX805. She responded:

“Unfortunately, we continue with lack of space that does not allow us to commit with new contract.” RX805.

127. Nevertheless, HSDG continued to make space available to OJC on a case-by-case basis pursuant to the rate quotations, and OJC continued to transport cargo with HSDG. RX1142, ¶ 62.

K. Mr. Weiss’ Decision Not to Negotiate with Other Carriers

128. In early 2021, Mr. Weiss decided not to renew OJC’s service contracts with the other carriers it had been using in 2020-2021—carriers who met their MVCs—or enter transportation arrangements with other providers. See RX1010-11, 81:11-82:16.

129. OJC declined offers from OOCL and COSCO to enter service contracts for 2021-22. RX1010, 81:14-18; RX1011, 82:10-16.

130. Mr. Weiss decided instead to seek a *single* service contract with a *single* carrier for 2021-22. RX1010-11, 81:11-82:16.

131. The carrier he chose, HSDG, was the *only* carrier that failed to meet its MVC for OJC in 2020-21 and the *only* carrier OJC repeatedly threatened to sue. RX1013, 115:2-7.

132. Mr. Weiss made the decision to break off negotiations with other carriers before he had even started to negotiate with HSDG. See RX1010-1011, 81:11-82:11 (OOCL contract ended March 2021; COSCO contract ended “month or two” before HSDG contract); Amended Complaint ¶ 32 (negotiations with HSDG started in April 2021).).

133. During his deposition, Mr. Weiss initially tried to blame Ms. Casanova for his decision stating “Hamburg Sud asked OJ Commerce to not renew with other carriers and give it a much bigger portion of our business in terms of the next contract.” RX1018, 134:1-4. When pressed, however, Mr. Weiss conceded that HSDG did not tell him not to renew OJC’s contracts with other carriers: “I didn’t say Hamburg specifically told me not to renew your OOCL contract.

Hamburg said we want a bigger part of your business” RX1018, 135:23-136:1.

134. OJC refused to produce (or did not have) any documentation showing it made any effort to secure space or transport cargo with any other carrier, NVOCC or forwarder. RX1086, 244:19-248:23; RX1120, ¶ 6.

135. Mr. Weiss conceded that it was “a big mistake to put all my eggs in one basket.” RX1024, 229:12-15. He added: “it made absolutely no sense what I did.” RX1026, 245:19.

L. OJC’s Damages Expert

136. After the August 5, 2022 deadline for expert reports (Dkt. 31), OJC served two expert reports from Richard C. Berning, one on September 2, 2022, and a second, supplemental report on October 17, 2022. CX415, 460.

137. Mr. Berning was not retained until August 24, 2022—**19 days after** the deadline for initial expert reports, RX930-35, and after OJC provided its damage calculations. Rohde Ex. 1.

138. Mr. Berning has no prior experience with damages arising from alleged violations of the Shipping Act. RX1045, 64:13-17.

139. He has no prior experience with any cases involving allegations that a party breached a MVC in a service contract within the shipping industry or any other segment of the transportation sector. RX1045, 65:10-25.

140. He has never analyzed damages for retaliation or refusal to deal. RX1045, 63:22-65:16 (RB).

141. Mr. Berning stated that his greatest “core competency” is business valuation, and he has been retained in over 1,000 divorce cases, primarily in valuing the business assets of a separating married couple. RX1046; 66:13-15.

142. Mr. Berning failed to verify OJC’s data and calculations using source documents

that would have been readily available had he requested them. *See infra*.

143. Mr. Berning did not do anything to verify Mr. Weiss' calculation of "Average Gross Revenue Per Container" in 2020-21 of [REDACTED]. RX1033, 16:11-17:4.⁸

144. Mr. Berning did not do anything to verify Mr. Weiss' calculation of "Average Gross Profit Per Container" in 2020-21 of [REDACTED]. RX1033-34, 17:5-18:15.⁹

145. OJC refused to produce—and Mr. Berning did not review—the shipping records, sales records, financial statements and other documentation from which Mr. Weiss' gross revenue and gross profit calculations might be verified. RX1033-34, 16:11-17:4, 17:5-18:15; 208:10-209:20 (RB); RX1121, ¶ 12.¹⁰

146. Mr. Berning did not review any documentation concerning the variable costs Mr. Weiss included in his calculation of average gross profits per container. RX1082, 213:16-215:16.¹¹

147. OJC did not produce—and Mr. Berning did not review—any documentation such as bills of lading and purchase orders to verify the total containers OJC shipped during the Contract Term from June 23, 2020 to May 31, 2021, and the contents of those containers. RX1041, 48:15-49:2; RX1092, 252:2-253:13 (RB); RX1092, 252:11-18 (RB); RX1121, ¶ 11).

148. OJC did not produce—and Mr. Berning did not review—any container volume data

⁸ An earlier spreadsheet Mr. Weiss prepared stated that the "Average Gross Revenue Per Container" was [REDACTED]. Rohde Ex. 1.

⁹ On January 25, 2022, OJC claimed its "Average Gross Profit Per Container" was [REDACTED]. RX408-09 (OJC's Initial Disclosures dated Jan. 25, 2022). On July 14, 2022, the calculation decreased to [REDACTED]. Rohde Ex. 1 (first Excel) (summary tab). OJC uses the terms "Average Gross Profit Per Container" and "Average Net Profit Per Container" interchangeably in its brief. *Compare* OJC Brief at 35 (defining "Average Gross Profit Per Container" as [REDACTED]) with OJC Brief at 38-39 (referring to [REDACTED] as "Average Net Profit Per Container")

¹⁰ Mr. Berning does not know if either calculation was made in the ordinary course of business or for purposes of this proceeding. RX1061, 129:14-17; RX1063 134:15-135:19.

¹¹ Messrs. Weiss and Berning both concede that "Average Gross Profit Per Container" may not have included all variable costs, stating that OJC "[REDACTED]" CX423; CX470-CX471, ¶ 20.

to assess the reasonableness of Mr. Weiss’ projection that OJC would have shipped up to 4,700 FFEs in 2021-22 had HSDG entered a new service contract for 2021-22. RX1092-93, 252:23-255:6; RX1121 ¶ 11.

149. OJC did not produce—and Mr. Berning did not review—any container volume data before June 1, 2020 or after July 16, 2022 to assess the reasonableness of Mr. Weiss’ projection that OJC would have sold up to 4,700 FFEs of products in 2021-22—a [REDACTED] % increase over 2020-21—had HSDG entered a new service contract. RX1083, 216:15-217:14 (RB); RX1120 ¶ 9.

150. The chart below highlights the differences between the damage summary Mr. Weiss prepared in July 2022 (Rohde Ex. 1), and the “updated” damage summary he prepared in September 2022. (Weiss Ex. 101). As noted, Mr. Berning’s calculations match *exactly* the updated data and calculations prepared by Mr. Weiss. *Compare* CX415-438, with Weiss Ex. 101.

	OJC Damage Calculations July 14, 2022 Rohde Ex. 1	OJC Updated Calculations Sept. 2, 2022 Weiss Ex. 101	Berning Report Sept. 2, 2022 CX415-59
FY20 Average Gross Revenue Per Container	[REDACTED]	[REDACTED]	[REDACTED]
FY20 Average Gross Profit Per Container	[REDACTED]	[REDACTED]	[REDACTED]
FFEs shipped by HS in FY20	185	185	185
FY20 Damages for Failure to Meet Minimum FFE	[REDACTED]	[REDACTED]	[REDACTED]
FY20 Weekly Shortfalls	74	105	105
FY20 Weekly Shortfall Damages	[REDACTED]	[REDACTED]	[REDACTED]
Containers shipped FY21 at Spot Rates	[REDACTED]	[REDACTED]	[REDACTED]
Damages for actual FY21 Shipments	[REDACTED]	[REDACTED]	[REDACTED]
Refusal to Enter New 2021-22 Contract Minimum Containers	500	4,200	4,200
Damages (minimum)	[REDACTED]	[REDACTED]	[REDACTED]
Refusal to Enter New 2021-22 Contract Maximum Containers	4,500	4,700	4,700
Damages (maximum)	[REDACTED]	[REDACTED]	[REDACTED]

RX939.

151. Mr. Berning admitted that he did not know why OJC’s calculations changed in the different versions of Mr. Weiss’ summary. RX1086, 227:5-229:24.

152. Mr. Berning endorsed Mr. Weiss’ calculations in their entirety without a single

modification; Mr. Berning readily admitted this under oath: “[REDACTED]” when calculating damages. RX1086-87, 229:25-230:13.

153. Mr. Weiss is not qualified to be an expert on the issue of damages; he studied at United Talmudical Academy (“UTA”); he did not obtain any other degrees or certifications; he is not an accountant; and he did not receive any education at UTA or elsewhere concerning economics or accounting. RX1004-05, 40:23-44:2.

M. OJC’s Alleged Damages

154. The damages OJC seeks all depend on Mr. Weiss’ calculations of Average Gross Revenue Per Container and Average Gross Profit Per Container. CX422-CX426.

1. Lost Profits for Failure to Meet MVC in 2020-21

155. Section 3(c) of the Service Contract provides for liquidated damages of \$250 per TEU “[i]n the event that the Minimum Volume Commitment of this Contract is reduced by 10% or more as a result of carrier’s failure to provide space.” CX121, ¶ 3(c).

156. The actual containers transported by HSDG (185 FFEs) were within 10% of the MVC of 200 FFEs. CX121, ¶ 3(c).

157. Even setting aside the 10% threshold, the maximum damages that OJC could receive under the Service Contract for a 15 FFE shortfall would be \$7,500 (30 TEUs multiplied by \$250 per TEU). See CX121, ¶ 3(c).

2. Lost Profits for Failure to Provide “Regular Weekly Shipments”

158. There is no contractual requirement that HSDG provide regular weekly shipments to OJC during the “Contract Term,” defined as June 23, 2020 to May 31, 2021. The Service Contract merely imposes a 200 FFE MVC during the Contract Term. CX120, § 3(a); CX125; RX1133, ¶¶ 11-12.

159. Section 17 of the Service Contract states:

“Amendments to this Contract must be executed by both parties” and it allows “amendments in an electronic mail format (e-mail), transmitted via the Internet and executed by the parties with an electronic signature.” CX124. However, the term “electronic signature means an exchange of emails between the parties to which the parties attach the amendments to the Agreement and in which the parties state that they agree to terms and conditions of such amendment.”

CX124, § 17. There were no amendments to the Service Contract. RX1133, ¶ 10.

3. Lost Profits for Freight Charges Above Contract Rates for 2021-22

160. OJC did not provide any documentation to verify the [REDACTED] FFEs it claims to have shipped in 2021-22, or the spot rates it allegedly paid to ship those containers. OJC also refused to produce its service contracts with other carriers that could inform the rates paid. RX1120, ¶ 7.

161. The container information Mr. Weiss purportedly pulled from OJC’s database changed over time. Mr. Weiss’ July 14, 2022 spreadsheet states that OJC shipped [REDACTED] FFEs from June 1, 2021 to March 24, 2022, Rohde Ex. 1 (summary tab), whereas the updated spreadsheet produced on September 2, 2022 states that OJC shipped [REDACTED] FFEs during this same period. Weiss Ex. 101 (summary tab).

162. OJC fails to identify the “source” of the rates it claims it would have paid for shipments from Asia to Kentucky in 2021-22. OJC’s table references a “Proposal” without further explanation or citation to the record. OJC Brief at 40.

4. Lost Profits for “Refusal to Renew Service Contract in 2021-22”

163. OJC claims—for the first time in its November 9, 2022 brief—that OJC and Maersk agreed to the 4200-4700 container MVC for 2021-2022. OJC Brief at 36. There was no such agreement, and there are no contemporaneous documents supporting OJC’s position. *See supra* ¶¶ 78-79.

5. “Shipping Rate Differentials” Method

164. The shipping rate differential method incorrectly uses spot market rates for 2021-

22 from third party sources such as Xeneta and Drewry. OJC Brief at 43-45. There is no reason to use third-party sources when OJC knows the precise rates that it paid to ship [REDACTED] FFEs in 2021-22. *See supra* ¶¶ 160-162.

N. OJC Failed to Mitigate Its Alleged Damages

165. OJC refused to produce (or did not have) any documentation showing it made any effort to secure space or transport cargo with any other carrier, NVOCC or forwarder. RX1090, 244:19-248:23; RX1120, ¶ 7.

166. In his Supplemental Report, Mr. Berning assumes that 3,000 FFEs of an estimated 4,700 FFEs would be transported from Asia to California—the only trade lane in his analysis covered by the Service Contract—at a cost of [REDACTED] per FFE (based on Xeneta data). CX463. Mr. Berning also assumes a [REDACTED] gross profit per container before incurring the increased shipping costs. CX424.

167. While this assumption that 3,000 FFEs of the projected 4,700 FFEs would be transported from Asia to California is inconsistent with Mr. Weiss’ statement that 70% of the projected 4,700 FFEs would be transported from Asia to Kentucky, CX203, these figures suggest that OJC elected to forgo approximately **\$22 million** of profits. ($\$[REDACTED] - \$[REDACTED] \times 3,000 = \$[REDACTED]$). RX1172, ¶ 77.

168. By comparison, OJC’s purported total profits from both business segments (measured by Earnings before Taxes or “EBT”) in 2019 were \$[REDACTED]. RX1172, ¶ 78.

169. Assuming the accuracy of all other inputs and assumptions, OJC’s *own* damage model indicates that it elected to voluntarily forego profits [REDACTED]% **higher** than it ever experienced in its history. RX1172, ¶ 78.

O. HSDG Complied with Its Discovery Obligations

170. In response to OJC’s Document Request No. 26, HSDG produced responsive

documents, including documents relating to service contract pricing strategy for 2021-22 and internal spot rate guidance issued on a bi-weekly basis from the third quarter of 2019 to mid-2022. RX1122, ¶ 18. HSDG voluntarily produced spot rate data for a longer period than required under the June 29 Order. RX1122, ¶ 18.

171. On September 7, 2022, Respondents identified: (i) Ivan Cheung, the person most knowledgeable about trans-Pacific eastbound spot rates from November 2020 to the present; (ii) Rodrigo Pestana, the person most knowledgeable about such rates prior to November 2020; (iii) Johan Sigsgaard (Global Head of Ocean Products and Senior Vice President at Maersk A/S), the highest ranking person in the Maersk organization with authority over rates from April of 2021 to the present; and (iv) Silvia Ding, Mr. Sigsgaard's predecessor. RX1122-23, ¶¶ 20-21.

172. On September 16, 2022, in response to OJC's Interrogatory seeking the identity of persons who set, authorize, or otherwise determine pricing for service contracts, HSDG further identified: (i) Amit Sethi (Global Head of Ocean Contract Product); (ii) Liezel Du Toit (Senior Director, Head of Spot Products); (iii) Lee Michael Sissons (Head of Ocean, Asia Pacific); (iv) Anne-Sophie Zerland Karlsen (Head of Asia Pacific Ocean Customer Logistics); (v) Thiago Guimares Covre (Regional Head of Trade, Sealand Americas); and (vi) Michael Britton (Managing Director, Sealand Americas. RX456-57, Request No. 1.

173. The only person OJC sought to depose was Mr. Sigsgaard. RX1123, ¶ 22.

174. Mr. Sigsgaard is the Global Head of Ocean Products and Senior Vice President at Maersk A/S, located in Copenhagen, Denmark. RX1127; ¶ 1. In that role, Mr. Sigsgaard has overall responsibility for all pricing decisions relating to ocean transportation of cargo by Maersk A/S, but due to the size and global scale of the operations, he carries out his responsibility through intermediate levels of management, including the personnel HSDG identified in response to OJC's Interrogatory. *Id.* ¶¶ 3-4.

175. HSDG offered OJC the only blocks of time Mr. Sigsgaard was available, 8 am to 12 noon eastern on October 5, 2022 and 8:45 am to 11:15 eastern on October 7, 2022, which together totaled 6.5 hours. CX329-330; RX1128 ¶ 6. When OJC advised that they could not take the deposition on October 5,¹² HSDG's counsel offered to extend the time for the deposition on October 7 to run from 8:45 am to 1 pm eastern. CX328. OJC refused to take Mr. Sigsgaard's deposition, insisting that it was entitled to seven hours on a single day. CX326-328.

176. OJC noticed the deposition of HSDG's expert witness, Ricardo Zayas, for September 8, 2022, RX469-70, but cancelled that deposition on September 6, 2022. RX474.

177. OJC apparently sought documents on blank sailings on the theory that blank sailings were used by HSDG to manipulate pricing and space. OJC Brief at 31. Given that HSDG did not operate vessels in the trans-Pacific trade and had no ability to blank sailings, this allegation is baseless. RX916-23. HSDG served its customers in the trans-Pacific trade using space chartered from Maersk. *See* RX916-23.

178. Of the more than 15,000 pages of documents produced by Respondents, approximately 421 pages or **2.8%** were designated "confidential," and approximately 271 pages or **1.8%** were designated "attorneys' eyes only. RX1123, ¶ 25. The vast majority of these documents consisted of the confidential Service Contract (which OJC improperly attached to its Complaint) and/or documents with rate information.

¹² The communications regarding Mr. Sigsgaard's deposition occurred with Aaron Davis, counsel for OJC. Upon information and belief, October 5 was not a holiday for Mr. Davis.

DATED: December 8, 2022

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 8th day of December, 2022, the foregoing was served via secure file transfer on:

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A handwritten signature in black ink, appearing to read "Wayne R. Rohde", written over a horizontal line.

Wayne R. Rohde